

Doctor Visit

Prior Authorization Story

SCENE 1 · DOCTOR VISIT

*Six months ago. City Medical Center, New Delhi.***Rahul**

My joints have been stiff every morning for weeks. My fingers are swollen and it hurts to make a fist.

*Dr. Patel — a rheumatologist — reviews Rahul's labs, X-rays, and symptoms.***DR. PATEL'S DIAGNOSIS**

Diagnosis: Rheumatoid Arthritis (RA) — an autoimmune disease where the immune system attacks the joints.

Prescribed: Humira (adalimumab) — a biologic medication that suppresses the overactive immune response.

Rahul

So I just pick it up at the pharmacy?

Priya · Healthcare Ops Specialist

Not quite, Rahul. Humira is a biologic — it costs around ₹80,000–₹1.5 lakh per month. Your insurer, StarCare Health, requires a Prior Authorization before they'll cover it.

WHAT IS STARCARE HEALTH?

StarCare Health is an illustrative example of a health insurance payer used throughout this simulation. Real insurers — like those you may have — follow the same PA process described here.

WHAT WOULD YOU LIKE TO EXPLORE?

Wait — what exactly is a Prior Authorization?

That seems like a lot of steps just to get medicine I need.

"yes, we'll cover this" stamp. Let's walk through how it works for your Humira.



SCENE 2 · INSURANCE ROADBLOCK

Dr. Patel's office initiates the Prior Authorization request — directly with StarCare Health.

Priya · Healthcare Ops Specialist

Here's what the flow looks like. Notice: the pharmacy isn't involved at this stage. The PA goes directly from the provider's office to the insurer.



WHAT DR. PATEL'S OFFICE SUBMITS

- 📄 Patient demographics and insurance ID
- 🔬 Lab results confirming RA diagnosis
- 📄 ICD-10 diagnosis code (M05 for seropositive RA)
- 💊 Requested drug: Humira (adalimumab), dose, and frequency
- 📄 Clinical notes supporting the prescription

Priya · Healthcare Ops Specialist

Once the PA is approved, it's saved permanently on file with StarCare Health. Rahul won't need to repeat this process every time he fills the same prescription — as long as the PA remains active.



✅ IMPORTANT TO KNOW

An approved PA for Humira stays on file with StarCare Health. Dr. Patel's office receives a reference number. The pharmacy can verify coverage before dispensing — no repeat PA needed.

Rahul

Why does insurance even require this? Can't my doctor just prescribe

WHAT WOULD YOU LIKE TO EXPLORE?

SCENE 3 · WHAT IS PA?

Priya breaks down the Prior Authorization system — what it's for, and what it costs.

Priya · Healthcare Ops Specialist

Prior Authorization is a requirement from your insurer that says: "Before we pay for this, prove to us that it's medically necessary and that you've tried cheaper alternatives first."



WHY DO INSURERS REQUIRE PA?

-  Cost management: Biologics like Humira can cost insurers \$15,000–\$25,000/year per patient
-  Step therapy: Did the patient try cheaper options (methotrexate, NSAIDs) first?
-  Clinical appropriateness: Is the diagnosis confirmed and documented?
-  Fraud prevention: Ensuring medications match diagnoses

Priya · Healthcare Ops Specialist

Now — step therapy isn't just bureaucracy. For most conditions, it makes sense. But for aggressive diagnoses like Rahul's RA, every week of delay matters for disease progression.



THE REAL COST OF DELAYS

AMA 2023 PA Survey: Prior Authorization causes treatment delays in the majority of cases — with physicians reporting that delays lead to adverse clinical outcomes including hospitalization and permanent damage.

For Rheumatoid Arthritis specifically: early aggressive treatment significantly reduces long-term joint destruction. A 4–8 week PA delay can affect outcomes.

Rahul

So the system designed to control costs... can end up causing more expensive complications later?



Priya · Healthcare Ops Specialist

Exactly. That's the central debate in healthcare policy around PA reform.

WHAT WOULD YOU LIKE TO EXPLORE?



What exactly does StarCare Health look at when they review the request?

Priya · Healthcare Ops Specialist

Let me walk you through each checkpoint — they're more detailed than most people realize.



SCENE 4 · INSURANCE REVIEW

StarCare Health's clinical review team opens Rahul's PA request.

Priya · Healthcare Ops Specialist

StarCare Health's reviewers — usually a nurse or pharmacist first, then a physician if escalated — work through a checklist. Let me walk you through each step.



 STEP 1 · MEMBER ELIGIBILITY

Why it matters: Confirms Rahul's policy is active and Humira is a covered drug class under his plan. If his plan excludes biologics, PA won't help — he'd need a different path.

 STEP 2 · CLINICAL DOCUMENTATION

Why it matters: The insurer needs to see lab results (rheumatoid factor, CCP antibodies, ESR/CRP levels) and physician notes. Missing labs = automatic review hold.

 STEP 3 · ICD-10 DIAGNOSIS CODE MATCH

Why it matters: Humira is approved for specific ICD-10 codes (M05.x = seropositive RA). If the submitted code doesn't match the drug's approved indications in the formulary, it's flagged.

 STEP 4 · STEP THERAPY HISTORY

Why it matters: StarCare's policy requires patients to have tried methotrexate (a first-line DMARD) for at least 3 months before approving a biologic like Humira. This is the most common denial trigger.

WHAT WOULD YOU LIKE TO EXPLORE?

What counts as "proof" that I tried other treatments?

Priya · Healthcare Ops Specialist

Pharmacy fill records, physician notes documenting prescriptions, lab results showing the earlier drug's failure or side effects — all count. The problem? If a patient tried methotrexate years ago at a different provider, that history may not transfer over. Documentation gaps are the #1 denial reason.



SCENE 5 · DENIAL

Three days later, StarCare Health issues a PA decision.

✗ PA DECISION: DENIED

Reason Code: ST-04 — Step Therapy Not Documented

Explanation: Clinical records do not confirm that the member completed a required trial of a conventional DMARD (Disease-Modifying Anti-Rheumatic Drug) prior to initiating biologic therapy.

This decision is not final. You have the right to appeal within 60 days.

Rahul

I can't believe this. I finally get a diagnosis and now I can't even get the medicine?



Priya · Healthcare Ops Specialist

I completely understand the frustration, Rahul. But here's what's important: a denial is not a final answer. It's a checkpoint. The process has clear appeal rights built in.



📊 THE SYSTEM SIDE OF DENIALS

PA denials cost physician offices an average of 2+ staff hours per case to resolve — pulling medical assistants and nurses away from patient care.

Across the US healthcare system, this adds up to billions in administrative cost annually. Denials are so common that most large practices now have dedicated PA staff.

WHAT WOULD YOU LIKE TO EXPLORE?

Most first-time PA denials are overturned on appeal when proper documentation is submitted. The key is acting quickly and organizing the right paperwork.

Rahul

Do I have to handle this myself, or does Dr. Patel's office help?

Priya · Healthcare Ops Specialist

Typically, the provider's office leads the appeal since they hold the clinical records. Rahul's main job is to be responsive — sign forms quickly, answer calls. Let's walk through what the appeal looks like.

SCENE 6 · THE APPEAL

Dr. Patel's office and Rahul begin gathering documents for a formal appeal.

Priya · Healthcare Ops Specialist

An appeal has three core components. Let's build Rahul's appeal package step by step.

STEP 1 · GATHER CLINICAL EVIDENCE

-  Lab results: RF+, anti-CCP antibodies, elevated CRP — confirming RA diagnosis
-  Pharmacy records: methotrexate prescription fills from 8 months ago
-  Physician notes: documenting methotrexate trial, dose escalation, and discontinuation reason (GI side effects)
-  X-ray reports showing early joint erosion

STEP 2 · LETTER OF MEDICAL NECESSITY (LMN)

Dr. Patel writes a formal LMN explaining: (1) confirmed RA diagnosis with supporting labs, (2) documented methotrexate trial — 6 months, discontinued due to intolerance, (3) clinical rationale for Humira: disease severity, joint erosion evidence, biologic target profile.

An LMN is the single most important document in a PA appeal. It translates clinical judgment into insurance language.

WHAT WOULD YOU LIKE TO EXPLORE?



Note the decision deadline: StarCare must respond within 30 days for standard appeals



Rahul

This is a lot of paperwork. I just want my medication.

Priya · Healthcare Ops Specialist

I know. This is the hardest part of the PA process for patients — the burden of proof falls on you and your doctor, not on the insurer. But you have everything you need. The appeal is filed. Now we wait.



Rahul

Can Dr. Patel speak directly with a StarCare doctor?

Priya · Healthcare Ops Specialist

Yes — this is called a Peer-to-Peer (P2P) review. Dr. Patel can call the StarCare medical director assigned to the case and make the clinical argument directly. P2P reviews often resolve denials faster than paper appeals. We've requested one alongside the formal appeal. Let's see what happens.



SCENE 7 · APPROVAL

Twelve days later. StarCare Health completes its appeal review.

✓ PA APPEAL DECISION: APPROVED

Drug: Humira (adalimumab) 40mg/0.4mL

Authorization Period: 12 months from approval date

Reference Number: SCH-2024-PA-884721

Reason for Approval: Submitted documentation confirms completed step therapy trial with methotrexate. Clinical evidence supports biologic initiation for moderate-to-severe seropositive RA.

Saved on file permanently with StarCare Health. No repeat PA required for Humira during authorization period.

WHAT WOULD YOU LIKE TO EXPLORE?

For the next 12 months, yes. The pharmacy can verify authorization using that reference number. Dr. Patel's office also has it on file. When the period ends, a renewal PA is needed — but it's typically faster because the step therapy documentation already exists.



HOW HEALTH SYSTEMS TRACK THIS

-  Denial Rate: % of PA requests denied initially (tracked per drug class, per payer)
-  Appeal Rate: % of denials that are formally appealed by providers
-  Resolution Time: average calendar days from PA submission to final approval
-  Appeal Overturn Rate: % of appeals that result in approval (quality indicator)

Priya · Healthcare Ops Specialist

Rahul's case took 18 days from initial submission to final approval. That's within range, but 18 days without a biologic for active RA is clinically significant. Good systems track this — and use it to push for process improvements.



Rahul

What do I actually take away from this whole experience?



Priya · Healthcare Ops Specialist

Let's look at it from both your perspective and the system's. Because both views matter.



SCENE 8 · TAKEAWAYS

Two perspectives on Rahul's Prior Authorization journey.

PATIENT PERSPECTIVE — WHAT RAHUL LEARNED

-  PA is a standard process — not a personal rejection. It's triggered by drug cost and insurer policy, not your doctor's opinion of you.
-  Documentation is everything. Keep records of every medication you try, including doses and how long you took them.

WHAT WOULD YOU LIKE TO EXPLORE?

SYSTEM PERSPECTIVE — HOW HEALTH SYSTEMS TRACK PA

Health systems and provider practices measure Prior Authorization performance through four key metrics:

-  **Denial Rate** — High denial rates for specific drugs flag formulary or documentation issues that practice managers can address proactively.
-  **Appeal Rate** — A high appeal rate suggests denials are being contested (good), but also that the initial submission process has gaps (fixable).
-  **Resolution Time** — Average calendar days from PA submission to final decision. Benchmark: under 7 days for non-urgent cases.
-  **Appeal Overturn Rate** — The % of appeals that succeed. A high rate means denials are often wrong on first pass — a signal to negotiate with payers or update templates.

Priya · Healthcare Ops Specialist

Rahul's case is common. Millions of patients go through this every year. Understanding the process — what each step means, what your rights are — is the first step to navigating it with less stress.



Rahul

I still think 18 days without treatment for an active condition is too long. But at least now I understand why it happened — and what to do if it happens again.



Priya · Healthcare Ops Specialist

That's exactly the right place to land. Informed patients advocate better for themselves — and better-informed providers submit stronger PAs the first time. The system improves when everyone understands it.



End of simulation. Rahul's Humira PA is active. Reference: SCH-2024-PA-884721.

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Rahul

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Simulation Complete

You followed Rahul through all 8 scenes of the Prior Authorization process — from diagnosis to approval.

KEY NUMBERS FROM RAHUL'S CASE

18 days

1 denial

WHAT WOULD YOU LIKE TO EXPLORE?

↺ Restart Simulation

WHAT WOULD YOU LIKE TO EXPLORE?